

EnglishPod365 0186

The Office - Business Plan

GENERATED SUPPLEMENT

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Complete lesson transcript

Hello everyone and welcome back to EnglishPod.

My name is Marco.

My name is Catherine and today we have an upper intermediate level lesson for all of you.

That's right.

We're going to be talking business on this occasion on EnglishPod but specifically about planning a business.

Right.

So before a business opens, a lot of planning has to happen.

That means people will decide what kind of a product they want to sell, what kind of a market they want to sell to, etc.

So that is the focus of today's lesson.

Let's take a listen to the dialogue for the first time and we'll be back in a minute to talk about what's going on.

I've had it.

I'm done working for a company that is taking me nowhere.

So what are you going to do?

Just quit?

That's exactly what I'm going to do.

I've decided to create my own company.

I'm going to write up a business plan, get some investors and start working for myself.

Have you ever written up a business plan before?

Well, no.

It can't be that hard.

I mean, all you have to do is explain your business.

How are you going to do things?

And that's it, right?

You couldn't be more wrong.

A well-written business plan will include an executive summary which highlights the idea of the business in two pages or less.

Then you need to describe your company with information such as what type of legal structure it has, history, etc.

Well that seems easy enough.

Wait, there's more!

Then you need to introduce and describe your goods or services, what they are and how they're different from competitors.

Then comes the hard part, a market analysis.

You need to investigate and analyse hundreds of variables.

You need to take into consideration socio-economic factors from GDP per capita to how many children on average the population has.

All this information is useful so that you can move on to your strategy and implementation stage where you will describe in detail how you will actually execute your idea.

Geez, is that all?

Almost.

The most important piece of information for your investors will be the financial analysis.

Here you will calculate and estimate sales, cash flow and profits.

After all, people will want to know when they will begin to see a return on their investment.

I think I'll just stick to my old job and save myself all the hassle of trying to start up a business.

Alright we're back.

So the guy wanted to open up a business but his friend explained that it's not so easy and gave a lot of interesting words and phrases there.

He did.

He seemed a little naive.

Like he didn't really know how much work is involved in opening a business.

Exactly.

So I think we should take a look at some of the words used on Language Takeaway.

Language Takeaway

The first word is the heart and soul of the process before you open a business.

It's the business plan.

Alright so the business plan.

As you said it's a noun and it's basically a document that explains what's going on in the business.

Exactly.

It's a paper that you write about the business that you want to open and it's a plan.

So that's what the name says.

You have to tell what you will do, how much money you will spend, how much money you will need.

Because if you're asking people for money, they want to know where the money will be spent if it's going to be spent on wise decisions.

Exactly.

And as you mentioned, you show this business plan maybe to a bank but also maybe to an investor.

That's right.

So investor is our next word.

It's another noun but this noun is a person.

A person is an investor.

If he or she gives money to someone else and expects more money to come back.

Right.

So a person that's starting out a business maybe has enough money himself to open up a business but sometimes you need extra money so you look for investors.

People who are interested in giving you money.

For example, I have a cupcake company.

I want to sell cupcakes to people and I need a thousand dollars.

So Marco, do you want to be an investor?

Do you want to invest some money?

Yes.

For sure.

A cupcake company.

That sounds great.

I know but what happens if I don't sell cupcakes?

That's a problem for you because you have made a risky investment.

That's right.

So that's what happens with investors.

But now if you want to attract the attention of your investors with your business plan,

I think part of the most important aspects of this plan is the executive summary.

A summary is usually an outline of the important points of a paper or a document.

So in this case I could say, Catherine's cupcake company will sell delicious cupcakes of 10 different flavors to the market of 5 year olds, 55 year olds.

People will love them.

She has a great secret recipe and she plans to triple her investments by next year.

Right.

That's exactly it.

So if an investor reads the executive summary, which shouldn't be more than two pages long, you can pretty much get the idea of what the business is about.

So if you want more details, you have to read the rest of the business plan.

But mainly with the executive summary, you can more or less know what it's all about.

Exactly.

So a summary, like I said, is something that should be short and it should give you all of the most important information about something.

Exactly.

And while they were talking more in depth about analyzing things and doing some research, and among those things, the girl mentioned the socio-economic factors.

Okay, when I said we're going to sell cupcakes from my company to people between the ages of 5 and 55, we need to analyze, we need to look at their socio-economic factors.

Socio comes from the word social.

It means where in society they are, they're upper class, middle class or lower class.

Economic means how much money do they make?

Do they make \$10,000 a year or \$100,000 a year?

And so the kind of people we want to sell my cupcakes to will change according to their socio-economic factors.

That's right.

So as you mentioned, socio comes from the word social or from society.

So you're analyzing these factors from society.

And well, part of these factors is the GDP per capita.

So we have two different words there.

An acronym, GDP.

GDP, gross domestic product.

That might seem confusing because gross means different things at different times.

But in this case, domestic means our country.

So within a country, all of the products added up together.

Right.

And gross is basically that.

Just all the products added up together without taking into consideration any other things.

So the GDP is basically all the goods and services produced in a country within a given time.

And what about per capita though?

So per capita comes from Latin.

Per means four or each.

And capita is a head.

So this is per person.

So GDP per capita means how much, how many goods and services are made divided by the number of people in that place.

Exactly.

So you probably have these indicators in your country or your own language as well.

But that's basically it.

And the acronym is gross domestic product.

And just to explain a little bit, if you see this in Wikipedia or in an encyclopedia, normally a very low GDP per capita is \$500, American dollars.

And a high one would be \$35,000.

\$35,000, yeah.

And that's usually per year, right?

Because that's usually how it's taken into consideration.

The time is a year.

All right.

So those are the words that we have for you on language takeaway.

Now why don't we move on to a couple of different phrases on Fluency Builder.

Fluency Builder.

Okay.

So this is important.

First phrase, Marco, has to do with our last first phrase.

We had a business plan.

So what do you do?

You write up a business plan.

Right.

And that's a common way of saying to write or to create, to work on a business plan, to write up.

Right.

So it's something that we say that's very colloquial.

Something that is very spoken.

And I can't explain why we say it, but you'll sound very fluent if you say, I'm going to write up a business plan.

Or why don't you write up a business plan?

Right.

So it would be correct to say, I'm going to write a business plan or I have to write a business plan.

But if you use this phrase, I'm going to write up a business plan, it's more fluent, right?

It's just more native-like.

Exactly.

All right.

And our next phrase is a return on investment.

Okay.

So early we talked about investors.

The money that they invest is called an investment.

Okay.

These words are all very closely related.

And when Marco decided to give money to my cupcake business, he expects the money to come back and he expects more actually to come back than what he put in.

So that's called a return on investment.

The money that's the difference.

So if he gives me a thousand dollars and I give him back \$1,500 in a year, he made \$500.

That's amazing.

So that means it's a good return on his investment.

Right.

So that's the term that we use, a return on investment.

So you don't say to return on investment, you see a return on investment.

Exactly.

It's a thing, it's a number, it's a quantity.

It's something you can count.

Right.

And well, in the end, after seeing that this business plan is not so easy, the guy said, you know what?

I'm not going to quit my job and just save myself the hassle.

What's a hassle?

The hassle.

That's an interesting word.

So if I'm going to save myself the hassle, a hassle is like the problem or the hard work that it involves.

It's a lot of trouble.

A lot of trouble.

So I was going to cook some dinner tonight, but I'm going to save myself the hassle of going to the grocery store and buying it and cooking it by just ordering food.

Right.

So that's a good example.

Instead of doing all the work of cooking, you just save yourself the hassle, pick up the phone and get food delivered to your house.

Right.

So you can change here, you can say save myself, save yourself, save his self.

So you change that pronoun.

The pronoun.

Exactly.

So you can save yourself the hassle or I'm just going to save myself the hassle.

Okay.

So that's about it for fluency builder.

Let's listen to today's dialogue one more time and we'll be back in a minute to talk about business.

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I think I'll just stick to my old job and save myself all the hassle of trying to start up a business.

So it was pretty interesting that he wanted to quit his job and just, you know, set up a business.

But actually, many people say that business plans are unnecessary.

Really?

Do these people have lots of money and they don't need investors?

I think the problem is that there are many books out there that give you clear examples of companies, Fortune 500 companies, that started out without a business plan.

So I think many people take this as a rule.

A rule.

Like, well, they didn't need one or it's not really necessary or why should I write up a business plan?

Well, I'm not an entrepreneur and I'm not a business person, but my feeling is that a business plan is as much for investors as it is for yourself.

It helps you clarify your goals.

It helps you explain your objectives to your future colleagues.

And I think it's just a really good way to map out the first year of a business because it tends to, a lot of businesses fail in that first year.

So I think this is a really important step.

Yeah, exactly.

So it's very interesting.

We've talked a little bit about business here, but we would like to know your ideas or your comments or any other suggestions that you have about this topic or any topic on EnglishPod.

So why don't you send us a comment or a personal message.

We are at EnglishPod.com and we'll see you guys there.

Bye everyone.

See you there.